

# Profitable Investing in BTC and Altcoins

How the crypto market cycle works,
and how to invest with it

2026 / 27 EDITION

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Profitable Investing in BTC and Altcoins, 2026/27 Edition

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Tokens and projects named in this book are used as examples to illustrate how the market works.

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# Introduction: Why I Wrote This Book

Most people find crypto at the worst possible moment. A friend mentions that Bitcoin just hit a new record. A headline says some token went up 4,000 percent. The price chart looks like a ski jump, and the natural reaction is to buy before it gets away. A few months later the same chart is pointing down, the friend has gone quiet, and the money that went in is worth half of what it was.

I have watched this happen to people around me, and I have made versions of the same mistake myself. What finally changed my results was not a secret indicator or an insider tip. It was the realization that this market has a rhythm. Bitcoin, and the rest of the crypto market with it, has moved through the same broad sequence of phases again and again since 2009: a long, quiet accumulation period, a steady advance, a euphoric peak, and a painful decline. The details change every time. The sequence has not.

Once you see that rhythm, a lot of things fall into place. You stop asking "Is Bitcoin a good investment?" and start asking "Where are we in the cycle, and what does that mean for how much risk I should take right now?" That second question is far more useful, and it is the one this book is built around.

The core message of this book is simple: investing in Bitcoin and altcoins requires a system. The moment you buy, you need an exit plan, or at least a clear idea of how you will take profits. Long-term buy and hold does work,

just as it does in traditional investing. But why not use what you learn in this book to build wealth the way professional investors do?

## Who this book is for

I wrote this for three kinds of readers.

The first is the complete beginner who knows that Bitcoin exists, suspects there might be something to it, and is tired of explanations that are either condescending or buried in jargon. You will not need any technical background to follow along.

The second is the experienced stock or fund investor who understands price-to-earnings ratios, balance sheets and interest rate cycles, but has never found a sensible way to apply that knowledge to digital assets. I will try to translate crypto into the language you already speak wherever I can.

The third is the person who already owns some crypto, has lived through at least one crash, and wants a more deliberate approach than buying whatever is trending and hoping for the best.

## What this book is not

This is not a list of hot tips. You will find specific tokens mentioned in these pages, but they appear as case studies that illustrate how a part of the market works, not as recommendations. Prices change every day, and a book that tells you what to buy will be out of date before it is printed. A book that teaches you how the market

behaves should still be useful years from now. I update it once a year so the examples and figures stay current.

Nothing in here is personal financial advice. I do not know your income, your debts, your goals or how well you sleep when your portfolio drops 30 percent in a week. Use what you learn here to make your own decisions, and talk to a qualified advisor if you need one.

## How the book is organized

The book has three chapters, and each one builds on the last.

**Chapter 1** looks at Bitcoin and altcoins as an asset class. We start with why Bitcoin was created in 2009, then look at the four-year cycle that has shaped its price, how that cycle connects to the wider economy, and how the whole crypto market compares in size with gold, stocks, bonds and real estate. The chapter ends with Ethereum, the project that turned crypto from a single digital currency into a whole technology sector.

**Chapter 2** moves into the altcoin market itself: how blockchains are layered, why money rotates from one theme to the next, how big institutions, tokenization and new laws have changed the game, why AI agents may become some of crypto's biggest users, and how to research a token on your own before you put money into it.

**Chapter 3** is the practical part. How to actually buy, whether to use an exchange, an ETF or your own wallet, how private keys work and how to keep them safe, how many tokens a sensible portfolio holds, how to read what

large investors are doing on the public blockchain, and how to stay on the right side of the tax office.

At the end of each chapter I mention one of the research products I publish at cryptorevolution.money. The book stands on its own without them. They are there for readers who want help applying these ideas week by week.

Let's begin where it all began: a newspaper headline in January 2009.

# Chapter 1: Bitcoin and Altcoins as an Asset Class

**In this chapter**

- Why Bitcoin was created, and what makes it different from every asset that came before it.
- The four-year cycle that has shaped Bitcoin's price since 2012, and how it connects to the wider economy.
- Where the market stands in late 2026, and why simply buying and holding has not been the best strategy.
- How crypto compares in size with gold, stocks, bonds and real estate.
- How Ethereum opened the door to the altcoin market.

## 1.1 The Launch of Bitcoin in 2009

On January 3, 2009, someone using the name Satoshi Nakamoto created the first block of the Bitcoin blockchain. We still do not know who Satoshi was. What we do know is the message they chose to embed in that first block, now called the genesis block. It was a headline from The Times of London that same day: "Chancellor on brink of second bailout for banks."

The timing was not an accident. In late 2008 the global financial system had come close to collapse. Lehman Brothers had failed, governments were spending hundreds of billions to keep other banks alive, and central banks were about to begin quantitative easing: creating new money to buy bonds and other assets in order to push interest rates down and keep credit flowing. Whatever you think of those policies, they made

one thing very visible. The money in your bank account is a promise. It depends on the bank staying solvent, and its value depends on decisions made by central banks you have no say over.

Bitcoin was Satoshi's answer to that. It is a form of money that no company, government or central bank controls. Its rules are written into open-source software that thousands of independent computers around the world run at the same time. Those computers agree on a shared record of who owns what, called the blockchain, and nobody can change that record on their own.

The most important rule is the supply. There will only ever be 21 million bitcoin. New coins are created as a reward for the "miners" who secure the network, and that reward is cut in half roughly every four years in an event called the halving. The first block paid out 50 bitcoin. After the halvings of 2012, 2016, 2020 and 2024, the reward is now 3.125 bitcoin per block. More than 19.9 million coins already exist. The last fractions of a coin will be mined around the year 2140.

No other monetary asset works like this. Central banks can create more currency. Gold miners can dig faster when the price rises. Even the supply of stocks grows when companies issue new shares. Bitcoin's issuance schedule is fixed in advance and known to everyone. For an investor coming from the stock market, this is the first mental shift: Bitcoin is not a company. It has no CEO, no earnings, no headquarters and no marketing department. You are not betting on a management team. You are owning a scarce asset that sits outside the banking

system, in a network that has been running almost without interruption since 2009.

That scarcity, combined with the halving schedule, is also the starting point for understanding why Bitcoin's price moves the way it does.

## 1.2 Bitcoin Cycles: Halvings, Liquidity and the Wider Economy

If you look at a long-term Bitcoin chart, a pattern jumps out. The price does not rise in a straight line. It moves in large waves, and those waves have lined up with the halvings remarkably well.




*The author's Bitcoin cycle model, weekly closes since the 2016 halving. Green zones are accumulation phases, red zones are decline phases. Because the chart uses weekly closes, the peaks sit slightly below the intraday highs in the table below. The model marks the next cycle starting around November 18, 2026. This does not mean that date is a BUY signal.*

Here is what each cycle has looked like so far.

| Cycle | Halving | Cycle peak | Next cycle low | Peak-to-low decline |
|---|---|---|---|---|
| 1 | November 2012 | ~$1,150 (Dec 2013) | ~$170 (Jan 2015) | about 85% |
| 2 | July 2016 | ~$19,700 (Dec 2017) | ~$3,200 (Dec 2018) | about 84% |
| 3 | May 2020 | ~$69,000 (Nov 2021) | ~$15,500 (Nov 2022) | about 77% |
| 4 | April 2024 | ~$126,000 (Oct 2025) | ~$58,000–60,000 (mid-2026) | about 54% so far |

Two things stand out. First, the timing. In each cycle the peak came roughly 12 to 18 months after the halving, and the bottom came roughly a year after the peak. Second, the declines are getting smaller as the market grows up. A drop of more than 80 percent used to be normal. In the current cycle, the fall so far has been closer to half.

Why would a supply cut every four years produce such a regular rhythm? The simple version goes like this. Every halving reduces the number of new coins that miners can

sell to pay for electricity and equipment. If demand stays the same, less new supply means upward pressure on price. Rising prices bring in new buyers and media attention, which pushes prices higher still, until enthusiasm turns into euphoria and the market runs out of new buyers. Then the process reverses.

That explanation is true as far as it goes, but it is incomplete. The amount of new supply affected by a halving has become very small compared with the total amount of bitcoin traded every day. Something bigger is driving the waves, and that something is the global supply of money and credit.

### *Liquidity: the tide that lifts every boat*

Every asset price depends partly on how much money is looking for a home. When central banks cut interest rates and expand their balance sheets, borrowing becomes cheap, savings earn less, and investors move into riskier assets in search of a return. When central banks raise rates and shrink their balance sheets, the process reverses and risky assets suffer first. Analysts call this the liquidity cycle.

Bitcoin turns out to be one of the most sensitive assets in the world to changes in liquidity. It has no earnings to anchor its value and no dividends to hold investors in place, so when money is plentiful it can rise very quickly, and when money becomes scarce it can fall just as fast.

Two recent episodes show this clearly.

In March 2020, as the pandemic hit, almost every asset crashed at once. Bitcoin fell to around $4,000. Within weeks, the US Federal Reserve had expanded its balance

sheet by roughly three trillion dollars, other central banks did the same, and governments sent money directly to households. Bitcoin rose to more than $60,000 by April 2021, one of the strongest rallies of any major asset in that period.

In March 2023, Silicon Valley Bank and several other US regional banks failed. The Fed created an emergency lending program to stop deposit runs from spreading, which effectively put new liquidity back into the banking system. Bank shares fell sharply. Bitcoin went the other way, rising from around $20,000 to around $28,000 within days.

### *The business cycle and the ISM index*

Liquidity itself follows a rhythm, and that rhythm is tied to the real economy. One of the best gauges of the business cycle is the ISM Manufacturing PMI, a monthly survey of purchasing managers at US manufacturing companies. A reading above 50 means manufacturing is expanding. A reading below 50 means it is contracting.

The ISM index has tended to move in waves of roughly three to four years. When it falls well below 50, the economy is slowing, and central banks usually respond by cutting rates and adding liquidity. That fresh liquidity eventually lifts the economy and the ISM index, and along the way it lifts risk assets too. Several macro analysts have pointed out that Bitcoin's major turning points have lined up with turning points in the ISM index more often than chance would suggest, and that the length of the business cycle sits close to the length of the halving cycle.

I want to be careful here. Correlation is not a law of physics, and two cycles that happen to have similar lengths can drift apart. But it does give us a useful way to think about the halving cycle: not as a magic four-year clock, but as one expression of a broader economic rhythm that also drives stocks, commodities and credit.

### *Energy: why Bitcoin is tied to the physical world*

There is one more link between Bitcoin and the real economy that is easy to miss. Bitcoin is secured by a process called proof of work. Miners run specialized computers that compete to solve a mathematical puzzle, and the winner gets to add the next block and collect the reward. The puzzle cannot be solved more cheaply by cheating; the only way to win more often is to use more computing power, and that means more electricity.

This makes Bitcoin unusual among financial assets. Its security is paid for in energy, much like industrial production is. Miners chase the cheapest power on the planet, often power that would otherwise be wasted, such as excess hydro or gas flared at oil fields. When the price of bitcoin falls below what it costs the least efficient miners to produce a coin, those miners switch off, and the network adjusts. Energy prices, the business cycle and Bitcoin's cost of production are all connected. That is another reason Bitcoin does not move at random, even when it feels that way.

### *The power law: Bitcoin's long-term growth path*

Zoom out far enough and the cycles turn out to be waves around a remarkably steady trend. If you plot Bitcoin's price against the number of days since the genesis block,

with both axes on a logarithmic scale, the long-term trend forms something close to a straight line. Mathematicians call this kind of relationship a power law, and the power-law model of Bitcoin has described its growth surprisingly well since its earliest years.

A power law is not unusual in nature or technology. City sizes, earthquake strengths and the growth of networks often follow one. The most famous example in technology is Moore's law, the observation that the number of transistors on a computer chip doubles roughly every two years. For more than half a century, the exact products changed constantly while the underlying growth rate stayed on course. Bitcoin looks similar. Its network of users, its computing power and its price have grown along a predictable long-term curve, while each four-year cycle swings above and below it.

The power law also explains something we saw in the table above: each cycle produces smaller percentage gains and smaller drawdowns than the last. Growth along a power law slows over time in percentage terms, even as the absolute numbers keep rising. Bitcoin went up more than a hundred-fold in its early cycles. Today doubling or tripling is a strong cycle.

For an investor, the practical use is straightforward. When the price sits far above the long-term trend, as it does near every cycle peak, the risk of a deep correction is high. When it falls back to or below the trend, as it has near every cycle low, the long-term odds have historically favored the buyer. Like any model, the power law can break, and critics point out that it fits the past rather than proving the future. But combined with the halving

cycle and the liquidity cycle, it gives you a third, independent way to judge whether Bitcoin is cheap or expensive.

## 1.3 Where We Stand in Late 2026, and Why Buy and Hold Is Not Enough

This is the section I will rewrite every year, because it answers the question every reader wants answered first: where are we now? Between editions, my free Weekly BTC Cycle Update keeps this picture up to date.

As I write this in October 2026, Bitcoin trades at roughly $85,000. That is about a third below the all-time high of around $126,000 it reached in October 2025, roughly 18 months after the April 2024 halving, right in line with previous cycles. From that peak, the price fell to somewhere between $58,000 and $60,000 in the middle of 2026 before recovering.

If the historical pattern holds, the market is now moving through the late stage of the bear phase and into the long accumulation period that has come before every new advance. My cycle model, shown in the chart in the previous section, estimates the start of the next cycle at around **November 18, 2026**. The model counts back from the next halving, and the date of that halving in 2028 is itself an estimate that depends on how fast new blocks are found. The start date can therefore shift by days or weeks. The weekly report gives the exact timing as the halving date becomes clearer. That is roughly 13 months after the October 2025 peak, the same spacing that separated the 2017 and 2021 peaks from the buy zones that followed them.

That date marks the opening of a window, not a guaranteed bottom. Prices can still fall after a new cycle begins, and in past cycles the best entries came from combining the cycle timing with momentum signals that confirm buyers are actually returning. I publish the entry zone for Bitcoin, and the levels I am watching, for free in my Weekly BTC Cycle Update. In previous cycles, the accumulation period has lasted many months and has often included a retest of the lows. The next halving is expected around April 2028. Historically, the strongest gains have come in the 12 to 18 months after a halving.

None of this is guaranteed. The more institutions own Bitcoin, the more its behavior may change, and there are good arguments that future cycles will be longer, flatter or less regular. But the pattern has held well enough, for long enough, that ignoring it seems to me more dangerous than using it. The free Weekly BTC Cycle Update and the paid reports follow these developments as they happen.

### *The problem with buy and hold*

The standard advice for long-term investors is to buy and hold. For a broad stock index, that advice has served people well. For crypto, the numbers tell a more complicated story.

Imagine someone who bought Bitcoin at the November 2021 peak at $69,000. A year later they were sitting on a loss of nearly 80 percent. They had to wait until early 2024, more than two years, just to get back to even. Someone who bought altcoins at the same peak often fared much worse. Many tokens that were popular in

2021 have never come back, and some of them no longer exist.

Now imagine a second investor who did nothing clever, but simply followed the cycle. They bought in steady amounts during the quiet accumulation phase, held through the advance, and began taking profits when the market moved into the euphoric phase about a year to a year and a half after the halving. They held more cash or stablecoins during the decline and started buying again when the next accumulation phase began. They did not catch the exact top or the exact bottom. Nobody does. But they avoided sitting through an 80 percent drawdown, and they had money available to buy when prices were low.

That is the core idea of this book. The crypto market moves in phases. Knowing which phase you are in will not tell you what tomorrow's price will be, but it will tell you whether it is a time to be building positions, holding them, or protecting what you have. For altcoins, which rise faster and fall harder than Bitcoin, this matters even more.

## 1.4 Comparing Asset Classes

To understand how much room this asset class might have to grow, and how small it still is, it helps to set it next to the other places the world keeps its wealth. The figures below are rough estimates for late 2026. Different sources measure these markets in different ways, so treat them as orders of magnitude rather than precise values.

| Asset class | Approx. global value | What backs it | Main risks | When it tends to do well |
|---|---|---|---|---|
| Real estate | ~$380 trillion | Physical use: shelter, offices, land | High interest rates, illiquidity, debt | Low rates, economic growth |
| Bonds | ~$130–145 trillion | Promises to pay from governments and companies | Inflation, currency debasement, default | Slowing growth, falling rates |
| Stocks | ~$115–125 trillion | Company earnings and future growth | Recessions, falling profit margins | Moderate growth, ample liquidity |
| Gold | ~$28 trillion | Thousands of years as a store of value | Storage cost, no yield, long flat periods | Crises, high inflation, weak currencies |
| Bitcoin | ~$1.7 trillion | Fixed supply of 21 million, secured by energy | Volatility, regulation, technology risk | Expanding global liquidity |
| All other crypto | ~$1–1.3 trillion (incl. stablecoins) | Varies widely by project | Dilution, competition, failure | Late stage of liquidity expansions |

A few things are worth noticing.

First, Bitcoin is still small. The whole crypto market is worth less than a tenth of the gold market and a tiny fraction of global stocks or bonds. If even a small share of the money held in bonds or gold moved into Bitcoin over

the coming decade, the effect on a fixed supply of coins could be large. That is the long-term case many investors make. It is an argument about possibility, not a forecast, and it depends on Bitcoin continuing to earn trust over time.

Second, each asset class does best in a different environment. Real estate and stocks like steady growth. Bonds like slowing growth and falling rates. Gold likes crisis and inflation. Bitcoin likes expanding liquidity. None of them is the best place to be all the time, which is another argument for thinking in cycles rather than holding everything forever.

Third, Bitcoin's main risk is volatility. Its fixed supply is a powerful feature, but it also means that changes in demand show up entirely in the price. A portfolio that holds Bitcoin needs to be built so that a 50 percent drop, which has happened in every cycle so far, does not force you to sell at the wrong time.

Finally, notice what is missing from the table: cash in the bank. Many people treat a savings account as the safe choice, but after inflation it has lost purchasing power for most of the past fifteen years. The head of the world's largest asset manager has said the same thing bluntly. Speaking at the Milken Institute Global Conference in May 2026, BlackRock's Larry Fink said that "having your money in a bank account is one of the worst financial decisions of a lifetime." His argument was that in an economy reshaped by AI, wages will not grow as fast as the returns on capital, so people who keep their savings in cash will fall further behind those who own assets. You do not have to agree with every word to see the point:

holding nothing but cash is itself a decision, and usually an expensive one. There is a time to hold cash and a time to hold risk assets, and knowing which time we are in is what separates successful investors from those who stress out and make mistakes. In my view, gold also deserves a place in most portfolios, because currency debasement has always been part of modern banking and developed economies.

This is no longer just theory. Tokenized gold, backed by physical bars stored in secure vaults in Switzerland, for example, can already be bought and held as a crypto token, with each token representing a specific amount of real gold. You can own it, move it and sell it around the clock, just like any other digital asset.

As you will learn later in this book, this is only the beginning. BlackRock CEO Larry Fink, head of the world’s largest asset manager, summed it up in his famous statement: “Every stock, every bond, every fund, every asset can be tokenized.”

## 1.5 The First Altcoin That Changed Everything: Ethereum

For the first few years of its life, Bitcoin had the field more or less to itself. A handful of copies appeared, such as Namecoin and Litecoin in 2011, but they mostly tweaked Bitcoin's design rather than doing something new. Strictly speaking, they were the first altcoins, short for "alternative coins." Ethereum, which went live on July 30, 2015, was the first one to change what a blockchain could be used for.

You will sometimes hear the term distributed ledger technology, or DLT. It describes the idea underneath all of this: a tamper-proof database shared across many computers, where the network itself confirms each entry (in Bitcoin's case, the miners) instead of a bank or another institution keeping and controlling the records. Bitcoin used that idea for money. Ethereum used it for software.

Bitcoin was designed to do one thing well: to be money that nobody can print or freeze. Ethereum's creators, led by a then 19-year-old programmer named Vitalik Buterin, asked a different question. If a blockchain can keep a tamper-proof record of who owns which coins, why not use it to run programs as well?

Those programs are called smart contracts. A smart contract is a piece of code that lives on the blockchain and runs exactly as written whenever someone interacts with it. It can hold money, release it when certain conditions are met, create new tokens, run an exchange, or issue a loan, without a bank, broker or lawyer in the middle. If Bitcoin is often described as digital gold, Ethereum is closer to a global computer that anyone can rent by paying a fee in its native currency, ether.

That idea opened the floodgates. Almost everything people now call "crypto" beyond Bitcoin, from stablecoins and decentralized exchanges to tokenized funds and blockchain games, was built on Ethereum or on networks that copied and extended its design. Thousands of new tokens followed.

This is why it is so important to separate Bitcoin from the rest of the market in your mind. Bitcoin competes with

gold and government money as a store of value. Altcoins compete with each other, and with traditional technology companies, to build products that people actually use. When you buy an altcoin, you are much closer to buying shares in an early-stage technology startup: you are betting that a team will build something useful, attract users and generate fees, and that the token will capture some of that value.

Like startups, most of them will fail. A few will become very large. And as a group, altcoins behave like a leveraged version of Bitcoin: they tend to rise more than Bitcoin in the late stages of a bull market and fall much further in a bear market. Ethereum has already had multiple declines of more than 75 percent, and smaller tokens routinely lose 90 percent or more after a cycle peak.

So the starting point is clear. Bitcoin is the base layer of this asset class, and its cycle sets the tempo for everything else. Altcoins offer higher potential returns with much higher risk, and their timing matters even more. In the next chapter we look at how the altcoin market is organized, why money moves through it in a predictable order, and how the arrival of big institutions and new laws is changing the rules.

> **Chapter 1 in one paragraph**
>
> Bitcoin is a scarce, independent form of money with a fixed supply, and its price has moved in roughly four-year cycles tied to its halvings and to the global liquidity cycle. Altcoins, starting with Ethereum, are a technology sector built on top of the idea of blockchains, with more upside and much more risk. Knowing where we are in the cycle matters more than any single coin you pick.

**Follow the cycle every week, for free**

The cycle phases in this chapter change slowly, but they do change, and it is easy to lose track when headlines are shouting in both directions. Every week I publish a free newsletter, the Weekly BTC Cycle Update, at cryptorevolution.money. It shows where Bitcoin stands in its cycle, my entry zone for Bitcoin, what the key levels are, and what has changed in the macro picture, in a few minutes of reading. It also includes plain-language security tips and explanations for readers who are new to crypto. Sign up at cryptorevolution.money.

# Chapter 2: Altcoin Narratives and the Bitcoin Cycle

**In this chapter**

- How blockchains are layered, and what Layer 1 and Layer 2 tokens actually do.
- Why money moves through the crypto market in a predictable order, and what "narratives" are.
- How ETFs, banks and big asset managers have changed the market.
- What tokenization of real-world assets is, and why BlackRock and the big banks are betting on it.
- Why AI agents could become major users of crypto, and how the x402 standard lets machines pay in stablecoins.
- What new laws on stablecoins and market structure mean for investors.
- How to research any token yourself, step by step, before you buy it, and why a fair launch matters.

In Chapter 1 we treated altcoins as a group. In practice, the altcoin market is a crowded and very uneven place. There are tens of thousands of tokens listed on data sites, but only a few hundred have meaningful trading volume, and only a few dozen have real users. Before you can judge any of them, it helps to know how the market is built.

## 2.1 Layer 1 and Layer 2 Tokens

The easiest way to think about blockchains is as a stack of layers, a bit like the internet. At the bottom are the networks that store data and settle transactions. On top

of them sit faster, cheaper networks and, above those, the applications people actually use.

### *Layer 1: the foundations*

A Layer 1 is a blockchain that runs on its own, with its own set of computers securing it and its own native token to pay fees. Bitcoin is a Layer 1. So are Ethereum, Solana, Cardano, Avalanche and many others.

A Layer 1 network does three jobs. It keeps the network secure, it gets thousands of independent computers to agree on the same version of the ledger, and it gives transactions finality, meaning that once a transaction is confirmed it cannot be reversed. Doing all three of these things at the same time, while staying open to anyone, is hard. Engineers talk about a trade-off between security, decentralization and speed: it is relatively easy to get two of them, and much harder to get all three.

Different Layer 1s make different choices. Bitcoin puts security and decentralization first and processes only a handful of transactions per second on its base layer. Ethereum is similar in spirit but supports smart contracts. Solana chose speed: it can process thousands of transactions per second at a fraction of a cent each, at the cost of needing more powerful, more expensive machines to run the network.

When you buy a Layer 1 token, you are buying into the economy of that network. If people use it heavily, they pay more fees in its token, and in some networks part of those fees is permanently removed from circulation ("burned"). That gives the token a link, however loose, to how much the network is actually used.

### *Layer 2: the scaling engines*

When a popular Layer 1 gets busy, fees rise. In 2021, simple transactions on Ethereum sometimes cost more than $50. Layer 2 networks were built to solve this. They sit on top of a Layer 1, process transactions off the main chain, bundle hundreds or thousands of them together, and then post a compact summary or proof back to the Layer 1 network. Users get speed and low fees, while still relying on the security of the base layer for final settlement.

On Ethereum, the best-known Layer 2s include Arbitrum, Optimism and Base. On Bitcoin, the Lightning Network lets people send small payments almost instantly and almost for free, which makes Bitcoin practical for everyday payments in a way its base layer is not.

For investors, Layer 2 tokens are tricky. The technology often works very well, but the value does not always flow to the token. Some of the busiest Layer 2 networks have no token at all, and others have tokens that are used mainly for governance votes rather than fees. Before buying a Layer 2 token, ask a simple question: if this network becomes ten times busier, does that create more demand for this token? If the honest answer is "not really," the token's price depends mostly on sentiment.

## 2.2 Narratives: How Money Moves Through the Market

In the stock market, investors talk about sector rotation: money moving from technology to energy to banks as the economic picture changes. Crypto has something similar, but faster and more extreme. People in the market call

these themes "narratives." Artificial intelligence, decentralized finance, gaming, tokenized real-world assets, meme coins, privacy: each has had its moment, when money poured in and prices of anything connected to it soared.

### *The liquidity waterfall*

Over several cycles, the order in which money moves through the market has been fairly consistent. It looks something like this:

1. **Bitcoin first.** When a new cycle starts, money flows into the most established, most liquid asset. Bitcoin's share of the total crypto market, called Bitcoin dominance, tends to rise.
2. **Then Ethereum and the large Layer 1s.** Once Bitcoin has made a strong move, investors look for something with more upside but still reasonably established.
3. **Then the infrastructure and utility projects.** Oracles, data networks, decentralized computing, payment networks: projects with a real product but more risk.
4. **Finally, speculation.** In the late, euphoric phase of the cycle, money floods into small, unproven tokens and meme coins. This is usually the clearest sign that the cycle is moving toward euphoria and its final peak.

This order matters for timing. The smaller and more speculative the token, the later in the cycle it tends to rise, and the faster it tends to fall afterwards. If you are buying small altcoins when everyone around you is

already talking about them, you are probably buying in stage four.

One useful tool for watching this rotation is the OTHERS index on TradingView. It tracks the total market value of all cryptocurrencies outside the ten largest. When OTHERS starts to rise faster than Bitcoin, money is moving out along the risk curve. When it lags badly, the market is still in the cautious early stages, or already in decline.

### *The Solana meme era: what retail hype looks like*

The meme coin boom of 2024 and early 2025 is the clearest recent example of stage four. Solana, with its very low fees and fast confirmation times, became the place where anyone could launch a token in minutes and trade it seconds later. Platforms appeared that made creating a meme coin as easy as posting on social media. Millions of tokens were launched. A few went up a thousand-fold in days; the vast majority went to zero, often within hours.

The activity was real, and it made Solana one of the busiest blockchains in the world, which helped its token. But the money flowing through meme coins was mostly a transfer from late buyers to early buyers, not new value being created. When the excitement faded in 2025, trading volumes collapsed and many retail traders were left holding tokens nobody wanted.

The lesson is not that Solana is a bad network. It is that a lot of what drives crypto prices in a hype phase has nothing to do with lasting value. Learning to tell the difference between a narrative built on real usage and

one built purely on attention is one of the most useful skills an altcoin investor can have.

### *Narratives built on real usage*

The narratives that last tend to share one feature: someone is paying to use the network for a reason other than speculation. A few examples:

- **Oracles** solve a problem every smart contract has. Blockchains cannot see the outside world. A lending protocol needs to know the current price of the assets it holds; an insurance contract needs to know whether a flight was delayed. Banks and financial infrastructure providers, including SWIFT, have experimented with oracle providers for connecting traditional systems to blockchains.
- **Stablecoin and payment networks** move real money. Hundreds of billions of dollars in stablecoins now circulate on blockchains, used for trading, cross-border payments and savings in countries with unstable currencies. In a few years a large share of payments will run on blockchain. Possibly sooner.
- **Decentralized finance (DeFi)** competes directly with traditional banks and brokers. Lending protocols such as Aave let people lend and borrow without a bank, and decentralized exchanges such as Uniswap let them trade without a broker, all run by smart contracts around the clock. These protocols handle billions of dollars and earn fees that anyone can check on the blockchain.
- **Decentralized computing and storage** (often grouped under the name DePIN, which we look at in

section 2.5) sell computing power, storage space or bandwidth to paying customers.

These projects can still be poor investments if the price is too high or the token does not capture the value of the network. But at least there is actual data to analyze beyond the mood on social media.

## 2.3 Institutional Money Is Changing the Game

For most of its history, the crypto market was driven by individual investors, many of them young, many of them buying on exchanges that operated in a legal grey area. That changed in January 2024, when the US Securities and Exchange Commission approved the first spot Bitcoin exchange-traded funds.

An ETF is a fund that trades on a regular stock exchange like a share. A spot Bitcoin ETF holds real bitcoin, so buying a share gives you direct exposure to the bitcoin price without having to open a crypto exchange account or manage a wallet. The response was enormous. BlackRock's iShares Bitcoin Trust became one of the fastest-growing ETFs ever launched. Fidelity, Grayscale, Bitwise, ARK and others followed. By 2026 even Morgan Stanley had launched its own Bitcoin fund. Spot Ether ETFs followed in July 2024.

In September 2025, the SEC approved generic listing standards that made it much easier for exchanges to list funds for other crypto assets. Within months, spot ETFs for Solana, XRP and Dogecoin were trading in the US, followed by funds for Litecoin, Hedera (HBAR) and

Chainlink. A token having its own ETF is now a sign that it has crossed into the institutional world.

### *Why this matters for investors*

Institutional money behaves differently from retail money. Pension funds, wealth managers and corporate treasuries invest according to rules: they rebalance on schedules, they follow risk limits, and they need regulated products, proper custody and clear accounting. That has several effects.

It has probably reduced the extremes. The fall from the 2025 peak has been around 54 percent so far, compared with drops of 77 to 85 percent in earlier cycles. A larger, more diverse group of holders means fewer forced sellers at the bottom.

It has tied crypto more closely to the traditional financial system. ETF flows now move the market, and those flows respond to interest rates, stock market moves and portfolio rebalancing in the same way as flows into any other asset.

And it is changing how altcoins are valued. Institutions are used to asking hard questions: What revenue does this business generate? Who are its customers? How much of the value flows to the holder? A growing number of crypto analysts now measure networks by the fees users pay, the revenue that reaches token holders, and the ratio of market value to that revenue, much like a price-to-sales ratio in the stock market. Projects that can answer those questions well are likely to attract long-term capital. Projects that cannot will have to rely on hype.

### *Banks are building on blockchains*

The other side of this shift is banks using blockchain technology directly or building their own networks. Many of these networks have public tokens that private investors can buy as well. But this is not banks buying altcoins for their balance sheets. It is banks using the underlying technology to move money and assets faster and around the clock. For a token investor, the question is always the same: when a bank uses a specific network, how much of that value flows to the token? Sometimes the answer is a lot. Sometimes it is close to nothing.

## 2.4 Tokenization: Bringing Real-World Assets On-Chain

So far we have talked about assets that were born on a blockchain. The next big shift runs the other way: taking assets that already exist in the traditional financial system, such as government bonds, money market funds, gold, private loans, real estate and shares, and representing them as tokens on a blockchain. This is called tokenization, and the assets are often called real-world assets, or RWAs.

A tokenized asset is still the same asset. A tokenized Treasury fund still holds US government bonds, and a tokenized gold coin is still backed by gold in a vault. What changes is the plumbing. Ownership is recorded on a blockchain instead of in a chain of custodian databases, so the token can be transferred in minutes instead of days, at any hour, split into small pieces, and used inside smart contracts, for example as collateral for a loan.

Gold is the easiest example to picture, and you can already buy it this way. Tether Gold (XAUT) and PAX Gold (PAXG) are tokens where each token represents one troy ounce of physical gold held in professional vaults, in Switzerland for Tether Gold and in London for PAX Gold. You can hold them in your own wallet, send them across the world in minutes, or sell a fraction of an ounce at any hour, which is far harder with a bar in a safe or even with a gold ETF. In the long run, tokenization points toward a financial system where almost every asset, from shares and bonds to property and gold, lives on a blockchain.

The world's largest asset manager is betting heavily on this. In his 2025 letter to shareholders, BlackRock's chief executive Larry Fink wrote that "every stock, every bond, every fund, every asset can be tokenized." BlackRock already runs one of the largest tokenized funds, BUIDL, which holds US Treasury bills and money market instruments and is available on several blockchains. Franklin Templeton, Apollo and many others have launched their own tokenized funds, and the bank networks described in the previous section belong to the same trend.

### *How big could this become?*

Today the market is still small. In October 2026, tokenized real-world assets excluding stablecoins were worth roughly $39 billion, according to the data platform RWA.xyz, led by Treasury funds, private credit and tokenized gold. Stablecoins, which are themselves tokenized dollars, add almost $300 billion on top.

The forecasts are much larger. A 2025 report by Boston Consulting Group and Ripple projected that tokenized

assets could grow to around $9.4 trillion by 2030 and $18.9 trillion by 2033. Treat any forecast like this with caution, because consultancies have a long record of overestimating how fast new technology spreads. But the scale is worth putting in context. $18.9 trillion would be more than six times the value of the entire crypto market today, and it would still be only a few percent of the roughly $650 trillion held in real estate, bonds, stocks and gold from the table in Chapter 1. If even part of that money moves onto public blockchains, it will be one of the largest flows of capital the crypto industry has ever seen.

Some long-term forecasts go further still: a few analysts believe the total crypto market could eventually reach $100 trillion. Nobody can know whether or when that will happen, but it shows how much room for growth some see once tokenization reaches stocks, bonds, real estate and commodities.

### *Who benefits?*

Here, as everywhere in this chapter, it pays to ask where the value actually ends up. Buying a tokenized Treasury fund gives you exposure to Treasury bills, not to crypto. The investment case for crypto investors lies in the infrastructure the tokenized assets run on and depend on:

- **The networks that host them.** Most tokenized funds today live on Ethereum, with growing amounts on other Layer 1 and Layer 2 networks. More assets on a network mean more transactions, more fees and more demand for block space.

- **The data and connection layer.** Tokenized assets need reliable prices, proof that the reserves exist, and connections between blockchains and bank systems. This is the territory of oracle networks and interoperability software, which connect blockchains with each other and with existing bank systems.
- **Specialist RWA platforms.** A group of newer projects focuses only on issuing and managing tokenized assets. Some will become important; many will not survive the competition with large banks and asset managers.

Tokenization is also one of the reasons institutional interest in public blockchains no longer depends on the price of any single token. Banks and fund managers are building this because it lowers their costs. That makes it one of the most durable narratives in the market.

## 2.5 The Machine Economy: AI Agents, DePIN and x402

So far we have talked about people using crypto. The most interesting long-term story may be machines using it.

Artificial intelligence is moving quickly from chatbots that answer questions to software agents that act on their own: booking travel, writing and running code, managing advertising budgets, monitoring markets, trading. As these agents become more capable, they will need to pay for things on their own: computing power, data, storage, access to other services, and the work of other agents.

That raises an awkward question. How does a piece of software pay? It cannot walk into a bank and open an account. It cannot pass an identity check for a credit card. Even if a human attaches a card to it, card payments are slow to settle, expensive for small amounts, and not designed for millions of tiny transactions between machines.

Blockchains can solve this. A software agent can hold a wallet, receive tokens and send them to another agent in seconds, at any hour, for a tiny fee, without anyone's permission. Stablecoins give agents a unit of account that does not swing in value. Smart contracts let agents make agreements with each other that are enforced by code. Several investors and builders, including the BitMEX co-founder Arthur Hayes, have argued that AI agents could become some of the largest users of crypto networks.

### *The rails are being laid*

This is not a niche idea held only by crypto enthusiasts. The largest investors in the world are spending enormous sums on the physical side of the same shift. At the Milken Institute Global Conference in May 2026, Brookfield's chief executive Bruce Flatt described the coming decade as "rewiring the global economy," with around $10 trillion going into power, AI data centers and fiber in the United States alone. On the same stage, Larry Fink of BlackRock said the US is short of power, compute, chips and memory, that demand is growing faster than anyone anticipated, and that he expects buying futures on computing power to become a new asset class.

Put those pieces together and the picture becomes clear. Data centers and power plants are the hardware. AI

agents are the new users. Stablecoins and blockchains are becoming the money and the settlement layer between them. And compute itself is turning into a commodity that can be priced, traded and paid for, by people and by machines.

### *x402: a payment standard for machines*

One small piece of internet history shows how this could work in practice. When the rules for the web's HTTP protocol were written in the 1990s, the designers reserved a status code, 402 "Payment Required," for a future in which websites could ask for payment directly. For almost thirty years it went unused, because there was no simple, open way to send money over the internet.

In May 2025, Coinbase released x402, an open standard that finally puts that code to work. When a program requests a paid resource, such as a data feed, an article or a computing task, the server answers with a 402 message stating the price. The program pays instantly in a stablecoin such as USDC, attaches proof of payment, and receives what it asked for. There are no accounts, subscriptions, card details or minimum amounts, which makes it ideal for AI agents that need to pay fractions of a cent thousands of times a day.

Coinbase and Cloudflare, which carries a large share of the world's web traffic, set up the x402 Foundation to develop the standard, and it now sits under the Linux Foundation with backers that include Google, Visa, Stripe, Amazon Web Services and Circle, the issuer of USDC. Cloudflare says its network already sends around a billion 402 responses every day, a sign of how much

latent demand exists for paying for content automatically. Payments currently settle mostly on Coinbase's Base network, with Solana and Stellar also supported.

It is still early. By the first quarter of 2026, x402 had processed well over a hundred million transactions, but most were small tests, and real commercial volume was only tens of thousands of dollars a day. That is how new payment rails usually start. The important point for an investor is the direction: the companies that run the internet's infrastructure are building payment systems for machines, and they are choosing stablecoins and public blockchains to do it.

### *DePIN: networks of real hardware*

The machine economy needs physical infrastructure, above all computing power. AI models run on specialized chips called GPUs, which are expensive and often in short supply. A group of crypto projects known as DePIN, short for decentralized physical infrastructure networks, tries to solve this by paying people and businesses in tokens to contribute hardware to a shared network.

Akash Network, for example, runs a marketplace where anyone with spare servers can rent out computing capacity. Render does something similar for graphics and AI workloads. Other DePIN projects cover storage, wireless coverage and mapping data. The basic model is the same: the token rewards suppliers for providing hardware, and customers pay in the token, or in stablecoins converted to it, to use that hardware.

DePIN is one of the few crypto sectors where the revenue is easy to understand. Customers pay for something they need, and you can measure how much they pay. The risks are also clear. Many DePIN tokens reward suppliers with newly created tokens, which can flood the market if real customer demand does not grow fast enough. And these networks compete directly with large cloud providers that have enormous resources. As always, the question is whether the token captures enough of the network's value to justify its price.

## 2.6 Regulation and Stablecoins

For years, the biggest single risk for crypto investors in the United States was legal uncertainty. The SEC argued that most tokens were unregistered securities and brought lawsuits against exchanges and projects. Companies could not tell in advance what was allowed, and many simply moved abroad. Europe, meanwhile, was writing its own rulebook.

That picture has changed a lot since 2024, though not completely.

### *Stablecoins: the cash of the crypto economy*

A stablecoin is a token designed to keep a steady value, usually one US dollar. The largest are Tether (USDT) and USD Coin (USDC). Stablecoins are what traders hold when they sell other tokens, what many people use to send money across borders, and what decentralized finance applications use as their unit of account. They are the bridge between traditional money and the crypto market.

Their reliability depends entirely on what backs them. A well-run stablecoin holds cash and short-term government bonds equal to every token in circulation, and is audited regularly. Over the years, some stablecoins have failed spectacularly. The most famous was TerraUSD in 2022, which tried to hold its value through an algorithm rather than real reserves and collapsed within days, wiping out tens of billions of dollars.

In July 2025 the United States passed the GENIUS Act, its first major federal crypto law. It sets rules for payment stablecoins: they must be backed one-to-one by cash, short-term Treasury bills or similar safe assets, issuers must publish their reserves regularly, and they come under bank-style supervision. The law also states clearly that compliant payment stablecoins are not securities. For investors, this makes the dollar stablecoins issued under the US framework much more trustworthy as a place to hold cash between trades.

### *Market structure: the CLARITY Act*

The bigger question, which tokens are securities and which are commodities, was supposed to be answered by a second law, the CLARITY Act. It passed the US House of Representatives with a large bipartisan majority in July 2025. It would split oversight between the SEC and the commodities regulator, the CFTC, and give projects a path to be treated as commodities once their networks are sufficiently decentralized.

As of October 2026, the CLARITY Act has not become law. In September 2026 a key procedural vote in the Senate failed by 49 votes to 50, after disputes over ethics

rules for officials holding crypto and over whether stablecoins should be allowed to pay interest. A path to revive it still exists, but with US midterm elections approaching, passage this year looks unlikely. In the meantime, the SEC and CFTC are setting interim rules using their existing powers, and the SEC under its current leadership has been far friendlier to the industry than it was before 2025.

So the honest summary is this: the US has moved from hostility to cautious support, stablecoins now have a clear legal framework, and the full rulebook for other tokens is still being written. I will update this section in every edition.

### *The XRP case*

The long legal battle between the SEC and Ripple, the company behind XRP, is a good illustration of how far things have moved. In December 2020, the SEC sued Ripple, arguing that its sales of XRP were unregistered securities offerings. Several US exchanges delisted XRP, and its price fell sharply. In July 2023 a federal judge ruled that XRP sold to the public on exchanges was not a security in itself, though some of Ripple's direct sales to institutions were. The case finally ended in 2025, when both sides dropped their appeals. By November 2025, spot XRP ETFs from several issuers were trading in the US.

For investors, the lesson is that regulatory risk is real and can hit a token's price hard for years, but it can also lift when the legal picture becomes clear.

### *Europe: MiCA*

European readers have had a clearer rulebook for longer. The EU's Markets in Crypto-Assets regulation, known as MiCA, has applied in full since the end of 2024. It requires crypto service providers such as exchanges and custodians to be licensed, sets strict rules for stablecoins, and gives customers legal protections similar to those in traditional finance. When choosing an exchange as an EU resident, check that it is licensed under MiCA.

## 2.7 Researching Tokens and Projects

Everything so far has been about understanding the market. This section is about doing your own homework on a single token. You do not need paid tools to get started. The two free sites most people use are CoinMarketCap and CoinGecko. Both list almost every token, with its price, market value, supply, trading volume, the exchanges it trades on, and links to the project's website, documentation and code.

### *Step 1: Understand what the project does*

Before looking at a single number, find out in plain words what the project is for. Read the website and the documentation (often called a whitepaper or litepaper). Ask yourself: who would pay to use this, and why would they need a token to do it? If you cannot answer that after half an hour of reading, that is useful information too.

### *Step 2: Market cap versus fully diluted valuation*

This is the most important number most beginners never look at. On CoinGecko or CoinMarketCap, you will see two values:

- **Market capitalization** is the current price multiplied by the number of tokens in circulation today.
- **Fully diluted valuation (FDV)** is the current price multiplied by the maximum number of tokens that will ever exist.

When the two numbers are close, almost all the tokens are already in the market. When FDV is many times larger than market cap, a large wave of new supply is still to come, and every new token released competes with yours for buyers.

### *Step 3: Circulating, total and maximum supply*

You will see three supply figures. Circulating supply is what is tradable now. Total supply is what has been created so far, including tokens that are locked. Maximum supply is the hard cap, if there is one. Some tokens, like Bitcoin, have a fixed maximum. Others have no cap at all and create new tokens every year to reward the people who secure the network. That is not automatically bad, but you need to know the annual inflation rate and whether fees burned by users offset it.

### *Step 4: Who owns the rest, and when can they sell?*

Most altcoins set aside a large share of their supply for the founding team, early investors (usually venture

capital funds) and a foundation or treasury. These allocations are typically locked for a period and then released on a schedule, which is called vesting. When a large block is released at once, it is called an unlock, and the day of a big unlock is often called a cliff.

Early investors often bought their tokens at a fraction of today's price. When their tokens unlock, many of them sell, regardless of how good the project is. You can find unlock schedules in a project's documentation and on dedicated tracking sites such as Tokenomist. Check them before you buy.

### *A worked example*

Let's look at a hypothetical token, which I will call ABC, to see how these numbers fit together.

| Item | Value |
|---|---|
| Price | $2.00 |
| Circulating supply | 200 million tokens |
| Maximum supply | 1 billion tokens |
| Market cap | $400 million (200 million × $2) |
| Fully diluted valuation | $2 billion (1 billion × $2) |
| Allocation | 20% team, 18% early investors, 30% ecosystem fund, 32% community and rewards |
| Unlocks | Team and investor tokens unlock monthly over three years, starting in two months |

At first glance, a $400 million project might look small compared with others in its sector. But only 20 percent of its tokens are in circulation. The other 800 million will be released over the next few years. If the price stayed at $2, the market would need to absorb $1.6 billion of new tokens. If the team and early investors bought at $0.10 and started selling in two months, they would still be up 10 times on their investment even if the price halved.

None of this means ABC is a bad project. It might be excellent. But a token with this profile needs strong, growing demand just to keep its price stable, and buying it just before a big unlock means standing in front of a wave of selling. Compare this with a token where 90 percent of the supply is already circulating and there are no large unlocks ahead. All else being equal, the second one has much less hidden selling pressure.

### *Step 5: Is anyone actually using it?*

Finally, look for evidence of real use. How many people use the network each day? How much do they pay in fees? Is that growing or shrinking? Is the code still being actively developed? Sites such as DefiLlama and Token Terminal show fees and revenue for many networks, and project code is usually public on GitHub. We will look at these on-chain measures in more depth in Chapter 3.

## *Case study: fair launch versus venture-backed launch*

New tokens come to market in two broad ways, and the difference matters a great deal for investors.

In the traditional model, a team raises money from venture capital funds before launch, selling them tokens at a steep discount. The team keeps a large share for itself. When the token finally lists on exchanges, only a small part of the supply is circulating, the market cap looks modest, and the FDV is very high. Over the following months and years, the team and investors receive their tokens through unlocks and many of them sell. Retail investors who bought at launch often end up providing the exit for those early insiders.

The alternative is a fair launch: no private sale, no discounted allocation for venture investors, and tokens distributed to the people who actually use or support the network. Bitcoin itself was a fair launch. Nobody got coins before the network started; you had to mine them.

A recent example of a project that says it is taking this approach is Flop Network, announced in 2026 by Flop Labs, a company led by Arthur Hayes. Its token, FLOP, is designed as a currency for AI agents to pay for inference, computing power and data storage. The team describes it as a "100% fair launch" with no presale and no venture capital allocation, and has said it plans to distribute tokens through an airdrop to early participants, with the network itself targeted to launch in 2027.

I use FLOP here only as an illustration of the model, not as a recommendation. At the time of writing it has not launched, its full token economics have not been published, and like every early-stage project it may never deliver what it promises. But it shows how token launches are changing in response to the problems of the venture-backed model, and the questions to ask are the

same ones as in the worked example above. Who gets the tokens? When can they sell? And is there real demand for what the network provides?

### A short checklist before you buy any altcoin

- Can I explain in one sentence what it does and who pays for it?
- What is the market cap, and what is the FDV? How big is the gap?
- What percentage of the supply is circulating?
- When are the next large unlocks, and who receives them?
- Is usage, measured in users and fees, growing?
- Where are we in the Bitcoin cycle? How about the Altcoin cycle?

### Chapter 2 in one paragraph

The altcoin market is built in layers and moves in rotations, with money flowing from Bitcoin to large networks, then to infrastructure, and finally to speculation late in each cycle. ETFs, banks, tokenization and new laws are slowly turning it into a market where usage and revenue matter more than hype, and AI agents paying in stablecoins could become a major new source of demand. Before buying any token, check its supply, its unlock schedule and whether anyone actually uses it.

### Let me do the weekly research for you

Running through that checklist for one token takes an evening. Doing it for the major altcoins every week, while also keeping track of where each one stands in its cycle, is a part-time job. That is what my weekly Model Portfolio report at cryptorevolution.money is for. It names the specific tokens I follow in each of the main narratives. Every week it covers Bitcoin, Ethereum and a model portfolio of established altcoins, with the reasons each token is included, the waterfall portfolio strategy, cycle phases with entry, hold and exit zones for each token, readings from my momentum indicators, charts, and notes on what changed in the macro picture. It is research, not personal financial

advice, and it is written to be read in a few minutes. You can see the current plans at cryptorevolution.money.

# Chapter 3: How to Invest in Cryptocurrencies

**In this chapter**

- The four ways to own crypto: ETFs and ETPs, treasury company shares, exchanges, and your own wallet.
- How a key pair works, what a seed phrase is, and how to keep it safe.
- Software wallets such as MetaMask and Trust Wallet, newer wallets you sign into with Google or a passkey, and the two-wallet setup that keeps your savings safe.
- The scams and mistakes that cost people most often.
- How many tokens a sensible portfolio holds, and why networks can fail. Managing risk.
- How to use public blockchain data to watch what large holders are doing.
- How crypto is taxed, and which tools make reporting manageable.

Everything in the first two chapters is useless if you lose your coins to a hack, an exchange collapse or a tax bill you did not see coming. This chapter is the practical part. None of it is complicated, but all of it matters.

## 3.1 Traditional Investing Versus Self-Custody

When you buy shares through a broker, you do not usually hold them yourself. The broker and a chain of custodians behind it hold them on your behalf, and you have a claim on them. In most countries those claims are well protected: if the broker fails, your shares are segregated from its own assets and investor compensation schemes may cover some losses.

Crypto gives you a choice that the stock market does not. You can hold it through a financial intermediary, as you would a share, or you can hold it yourself, with nobody standing between you and your coins. Each option has real advantages and real risks.

### *Option 1: ETFs and ETPs through your existing broker*

For many investors, especially those who just want exposure to Bitcoin or Ether as part of a broader portfolio, a regulated fund is the simplest choice.

In the United States, spot ETFs now exist for Bitcoin, Ether, Solana, XRP, Dogecoin, Litecoin, Hedera and Chainlink, from issuers including BlackRock, Fidelity, Grayscale, Bitwise, Franklin Templeton, VanEck and 21Shares. You buy them through any normal brokerage account, they can be held in some tax-advantaged retirement accounts, and you never need to touch a wallet or private key.

European readers usually cannot buy US-listed ETFs because of EU rules on investor documentation. The European equivalent is the crypto ETP (exchange-traded

product), which is listed on exchanges such as Xetra, SIX or Euronext and available through most European online brokers. Many are physically backed, meaning the issuer holds the actual coins in custody. Issuers include iShares, CoinShares, 21Shares, WisdomTree and VanEck. Check whether a product is physically backed, what it costs per year, and how it is taxed in your country, which may differ from holding the coins directly.

The trade-offs: you pay an annual fee, usually between 0.15 and 1.5 percent; you can only trade when the stock exchange is open; you cannot use the coins on a blockchain; and you rely on the issuer and its custodian. For most people investing modest sums in Bitcoin and Ether, those trade-offs are well worth the simplicity.

### *Option 2: Crypto treasury companies*

A further way to get exposure through an ordinary brokerage account is to buy shares in a company whose main business is holding crypto. These are known as crypto treasury companies, or digital asset treasury companies.

The model was invented by Strategy, the software company formerly known as MicroStrategy, led by Michael Saylor. Since 2020 it has raised money by selling shares, convertible bonds and preferred stock, and used almost all of it to buy Bitcoin. By early October 2026 it held about 848,000 BTC, roughly 4 percent of all the bitcoin that will ever exist, bought at an average price of around $75,000.

Ether has its own version. BitMine Immersion Technologies, chaired by the Fundstrat strategist Tom

Lee, held just over 6 million ETH in October 2026, about 4.9 percent of the supply. It stakes most of it, which is expected to earn several hundred million dollars a year in staking rewards. SharpLink Gaming is a smaller Ether treasury company that also stakes nearly all of its ETH. Outside the United States, Japan's Metaplanet has become the best-known Bitcoin treasury company in Asia, and Forward Industries is the largest company built around Solana. Similar companies exist for XRP and several other tokens.

The number to watch is mNAV: the company's enterprise value divided by the market value of the crypto it holds. An mNAV of 2 means investors pay two dollars for every dollar of crypto on the balance sheet. A premium allows the company to sell new shares and buy more coins per share, which is how the model grows. But the premium moves with sentiment, and it can disappear. At the height of the last rally, Strategy traded at up to four times the value of its bitcoin. By March 2026 the premium had shrunk to about 1.16, and the stock had fallen around 70 percent from its high while Bitcoin had fallen less than 50 percent.

The trade-offs: a treasury company share is not the same as owning the coin. It adds company risk, debt and dilution, and in a downturn the stock usually falls further than the asset it holds. A company with large interest or dividend payments may be forced to sell coins at the worst moment. Shares can also be taxed differently from coins; in Germany, for example, gains on shares are taxed regardless of how long you hold them, while privately held coins become tax-free after one year. In return, the shares are easy to buy and hold in a normal

brokerage or retirement account, some earn staking income, and in a strong market they can rise faster than the coin itself. For most readers, an ETF or ETP is the cleaner way to hold Bitcoin or Ether through a broker. A treasury company is better seen as a leveraged bet on the asset and on the people running the company.

### *Option 3: A crypto exchange*

To buy most altcoins, or to buy crypto directly, you will need an exchange: a company that matches buyers and sellers and holds funds for its customers. Large, regulated exchanges such as Coinbase, Kraken, Bitstamp and Bitpanda are the usual starting points. In the EU, check that the exchange is licensed under MiCA. In the US, check that it is registered with the relevant federal and state authorities.

Exchanges are convenient, but holding your coins on one means trusting the company completely. History offers painful reminders. In 2014, Mt. Gox, then the largest Bitcoin exchange in the world, collapsed after losing around 850,000 bitcoin. In November 2022, FTX, one of the best-known exchanges in the industry, went bankrupt within days after it emerged that customer funds had been used for its own trading. Customers were locked out overnight.

There is a saying in crypto: "Not your keys, not your coins." When your coins are on an exchange, you have a promise from the exchange, not the coins themselves. A sensible approach for most people is to use exchanges for buying and selling, and not to leave large amounts there longer than necessary. Experienced large holders do the

same: they keep their coins in their own custody and move them to an exchange only when they intend to sell.

### *Option 4: Self-custody*

Self-custody means holding your coins in a wallet that only you control. No company can freeze your funds, go bankrupt with them, or limit your withdrawals. It is the reason Bitcoin was created in the first place.

The price of that independence is responsibility. If you lose access to your wallet, there is no help desk, no password reset and no court that can get your coins back. To do self-custody safely, you need to understand one concept above all others: the key pair.

## 3.2 How to Secure Your Private Keys

### *The key pair, explained without maths*

Every crypto wallet is built around two linked pieces of information: a private key and a public key.

The **private key** is a very large secret number, generated at random. Whoever knows it controls the funds. It is used to sign transactions, which is how the network knows that the owner, and nobody else, has authorized a payment.

The **public key** is calculated from the private key using a mathematical function that only works in one direction. It is easy to go from the private key to the public key, but practically impossible to go the other way. Your **address**, the string of characters you give people so they can send you crypto, is derived from the public key.

A helpful comparison is a mailbox with a slot. The address is like the slot: anyone who knows where your mailbox is can drop something in. The private key is like the key that opens the box. You can share your address with the whole world without risk. You must never share your private key with anyone.

When you send a transaction, your wallet uses your private key to produce a digital signature. Anyone on the network can use your public key to check that the signature is valid, without ever learning the private key. That is the whole trick, and it is why nobody needs a bank to verify that you are allowed to spend your coins.

### *The seed phrase*

Private keys are long and hard to write down accurately, so modern wallets turn them into a list of 12 or 24 ordinary English words, called a seed phrase or recovery phrase. From those words, your wallet can recreate all of your private keys and addresses, on any compatible device.

This makes the seed phrase the single most important thing you own in crypto. Anyone who sees it can take everything in the wallet. If you lose it, your funds are gone.

### *Hardware wallets*

For anything more than small amounts, the safest option for most people is a hardware wallet: a small, dedicated device that generates and stores your private keys and never lets them leave the device. When you want to send a transaction, your computer or phone prepares it, the hardware wallet signs it internally, and you confirm the

details on the device's own screen. Even if your computer is infected with malware, the attacker cannot extract your keys. Well-known makers include Trezor, Ledger and BitBox (the latter from a Swiss company).

Always buy a hardware wallet directly from the manufacturer or an authorized reseller, never second-hand, and set it up yourself so that you are the only person who has ever seen the seed phrase.

### *Software wallets: MetaMask, Trust Wallet and Web3 Wallets*

Not every self-custody wallet is a separate device. Software wallets are apps that store your keys on your phone or computer. Because that device is connected to the internet, they are often called hot wallets, while hardware wallets are called cold wallets.

The two most widely used software wallets are MetaMask and Trust Wallet. MetaMask started as a browser extension for Ethereum and the many networks built on the same technology, and it is still the standard way to connect to decentralized applications in a web browser. It also has a mobile app and has added support for other networks. Trust Wallet is primarily a mobile app and supports a very wide range of blockchains out of the box, which makes it popular with people who hold tokens on many different networks.

Both work the same way at heart. When you create a wallet, the app shows you a seed phrase, and everything in the previous pages applies to it. Neither company can see your funds or recover your wallet if you lose the phrase. Both also let you connect a hardware wallet, so

you can use their convenient interface while the keys stay on the device.

The weakness of any hot wallet is the device it runs on. A malicious browser extension, a fake app in an app store, or a website you have given permission to move your tokens can empty it. Download wallet apps only from the official website or the official app store listing, and double-check the publisher's name.

A newer kind of software wallet takes the seed phrase out of your hands altogether. These are often called smart wallets or embedded wallets, and you set one up by signing in with an account you already have, such as Google or Apple, or with a passkey, the same fingerprint or face login your phone uses for websites. Behind the scenes, the private key is either split into several pieces stored in different places, so that no single company holds the whole key, or replaced by a smart contract that only accepts transactions approved by your passkey. Coinbase's smart wallet is one well-known example, and many newer apps create a wallet like this for you automatically the first time you log in.

The advantage is convenience: there is no list of words to write down, and if you lose your phone you can usually recover the wallet by signing in again. The trade-off is that the wallet is now only as safe as the account protecting it. If someone takes over your Google account or your phone, they may be able to reach your coins, and if the provider locks your account, recovery can become difficult. If you use one, protect the login with a strong password and two-factor authentication or a passkey, and check whether the wallet lets you export your key or add

a backup method. For most people these wallets make an excellent spending wallet and a poor place for long-term savings.

### *The two-wallet setup*

A simple habit protects most people from most of these risks: keep two separate wallets with two separate seed phrases.

- **A cold storage wallet** holds your long-term savings, ideally on a hardware wallet. You never connect it to new websites, never use it to claim airdrops or try new applications, and you rarely touch it at all.
- **A spending wallet**, for example MetaMask or Trust Wallet, holds only small amounts that you actually use: trying a new application, buying a token, paying for something online. Treat it like the cash in your pocket. If something goes wrong, you lose what is in it, not your savings.

When you want to use some of your savings, move a small amount from the cold wallet to the spending wallet, and send profits back the same way. It is also good practice to review which applications have permission to move tokens from your spending wallet every few months and to cancel the ones you no longer use. Tools such as Revoke.cash show these permissions in case you have granted them.

### *Rules for keeping your seed phrase safe*

- **Write it down on paper or stamp it into metal.** Never type it into a computer or phone, never photograph it, never store it in a cloud service,

email or password manager. Most large thefts start with a seed phrase that was stored digitally.

- **Store it somewhere safe from fire, water and curious eyes.** Many people keep a second copy in a separate location, such as a safe deposit box.
- **Never enter it on a website.** No legitimate wallet, exchange or support agent will ever ask for your seed phrase. Anyone who asks is trying to rob you.
- **Test your backup.** With a small amount, practice restoring your wallet from the seed phrase so you know it works before you rely on it.
- **Think about inheritance.** If something happened to you, would your family know the coins exist and how to reach them, without the instructions being exposed to anyone else? A sealed letter with your lawyer or in a safe is a common approach.

For larger holdings, it is worth learning about two further options: an extra passphrase, which adds a secret word on top of your seed phrase, and multi-signature wallets, which require two or more separate keys to approve a transaction. Both add protection and both add complexity, so learn them properly before you rely on them. At cryptorevolution.money you will find solutions that can help.

### *The scams that cost people most*

Most losses in crypto do not come from clever hacking. They come from people being tricked into giving their access away. The most common patterns are:

- **Fake support.** You post a question online and someone "from support" contacts you privately,

eventually asking for your seed phrase or for you to connect your wallet to a website.

- **Phishing sites.** A search ad or email leads to a site that looks exactly like your exchange or wallet, and captures your login or seed phrase.
- **Wallet drainers.** A link offers a free airdrop or NFT. Connecting your wallet and signing the transaction gives the site permission to move your tokens.
- **Investment and romance scams.** Someone you meet online, often over weeks, guides you to an impressive-looking trading platform that shows big profits but never lets you withdraw.
- **Impersonation.** Fake accounts of well-known figures promise to double any crypto you send them.

The defense is simple to describe and hard to practice when emotions are running high: slow down, never share your seed phrase, type website addresses yourself, and be deeply suspicious of anything that promises guaranteed or unusually high returns.

## 3.3 Building Your Portfolio

Knowing how to buy safely is one half of the practical side. The other half is deciding what to buy and how much of each. There is no single right answer, because it depends on your age, income, goals and nerves, but a few principles hold for almost everyone.

### *Start with the core*

Most of the long-term risk in crypto sits in the smaller tokens, and most of the reliability sits in Bitcoin. A

sensible structure is therefore a core and satellites. The core is Bitcoin, and for many investors also Ethereum, held for the long term and managed with the cycle. The satellites are smaller positions in altcoins that you have researched and that fit the narratives you believe in.

### *How many tokens make sense?*

Fewer than most people think. Every token you own needs to be followed: its unlocks, its development, its competitors and its position in the cycle. Most private investors cannot do this properly for more than about five to ten tokens. A portfolio of forty tokens bought on tips is not diversified; it is unmanaged.

At the same time, the riskier a token is, the more important diversification becomes. Bitcoin is very unlikely to go to zero, so concentrating on it is reasonable. A small, young token can go to zero in a week, and many do. If you want exposure to that part of the market, spread the money across several small positions so that no single failure hurts you badly, and size each position so that losing all of it would be painful but not damaging.

The table below shows one way to think about it. It is an illustration of the principle, not a recommendation for your money.

| Risk tier | Examples | Typical share of a crypto portfolio | Number of positions |
|---|---|---|---|
| Core | Bitcoin, Ethereum | Largest share, often 50–80% | 1–2 |

| Risk tier | Examples | Typical share of a crypto portfolio | Number of positions |
|---|---|---|---|
| Established altcoins | Large networks and infrastructure tokens | 15–40% | 3–6 |
| High risk | Small caps, new launches | Up to 10% | Several small positions |

### *Networks can fail*

It is easy to assume that once a blockchain is big and well known, it will always be there. History says otherwise. In May 2022, the Terra network collapsed within a week when its algorithmic stablecoin lost its dollar peg. Its token, LUNA, had been one of the ten largest cryptocurrencies, worth around $40 billion, and fell to almost zero.

Failures have not stopped. 2026 has seen a wave of shutdowns as funding dried up in the bear market; by August, more than 100 crypto projects had closed down or gone bankrupt. On July 31, 2026, the Moonbeam network, once a prominent part of the Polkadot ecosystem, stopped producing blocks altogether. Users who had not moved their assets off the network in time found them stranded, and positions in applications running on Moonbeam became inaccessible. Several smaller Layer 2 networks announced that they would wind down in the autumn of the same year.

The lessons for your portfolio are straightforward. Do not put a large share of your money into any single altcoin network, however popular it is today. Pay attention to announcements from the projects you hold, so you have time to move your assets if a network winds down. And keep the bulk of your crypto in the assets most likely to still exist in ten years.

### *Rebalance and take profits*

A portfolio that is never adjusted slowly turns into a bet on whatever went up the most. Once or twice a year, or when the cycle changes phase, compare your holdings with the shares you planned. In the late stage of a bull market, take profits from the positions that have grown far beyond their target and move them into Bitcoin, stablecoins or cash. In the accumulation phase, add to the core first. This is the cycle approach from Chapter 1, applied to a whole portfolio.

## 3.4 Reading the Blockchain: On-Chain Tools

Once you hold a portfolio, you need a way to keep an eye on it that goes beyond the price chart. This is where crypto offers something the stock market cannot.

### *Why on-chain data is unique*

If you invest in a listed company, most of what you know about it comes from the company itself. Every quarter it publishes results: revenue, profits, cash flow, customer numbers. Those reports are audited and regulated, which is valuable. But they arrive weeks after the quarter has ended, they describe the past rather than the present,

and they are shaped by accounting choices and by management's desire to tell a good story. Between reports, investors mostly work from estimates, guidance and rumor.

A public blockchain works very differently. Every transaction, every transfer between wallets, every fee paid and every new token created is recorded on a ledger that anyone can read, in close to real time. On Bitcoin, a new block arrives roughly every ten minutes. On Ethereum, roughly every twelve seconds. On faster networks, even more often.

That means some of the questions a stock analyst would wait months to answer can be checked today:

- How many people used this network yesterday, and is that number growing?
- How much did users pay in fees this week, and how much of that went to token holders?
- How many tokens moved onto exchanges, where they could be sold, and how many moved off exchanges into long-term storage?
- Did the project's treasury sell tokens this month?

Not everything is visible. Wallet addresses are pseudonymous, so you see what an address does but not who owns it. One person can control many addresses, and one exchange address can represent millions of customers. Activity can be faked by moving tokens back and forth to inflate the numbers. And a lot of trading happens inside centralized exchanges, off the blockchain entirely. So on-chain data needs interpretation, just like a

company's accounts. But it is a source of information that simply does not exist in traditional markets, and it is free.

### *Following the whales*

In crypto slang, a whale is anyone who holds enough of a token to move its price: early adopters, funds, exchanges, project treasuries, and increasingly ETF issuers and companies holding Bitcoin on their balance sheets. Whales do not always get it right, but they tend to be better informed and more patient than the average trader, and their size means their actions show up clearly on the ledger.

Here are the indicators I find most useful, and how to think about each one.

### *Exchange flows*

When large amounts of a token move from private wallets onto exchanges, the most likely reason is that someone intends to sell, or to use the tokens as collateral for leveraged trading. When large amounts move off exchanges into private wallets, the holders are usually planning to keep them for a while.

Over long periods, the trend matters more than any single transfer. During much of 2023 and 2024, the amount of bitcoin held on exchanges kept falling, as coins moved into ETFs, company treasuries and private storage. A shrinking pool of coins available to sell is a quietly bullish background. A sudden spike of inflows, especially after a big rally, often comes before a correction.

### *Long-term and short-term holders*

Analysts split Bitcoin holders into two groups by how long their coins have stayed in the same wallet: short-term holders, whose coins moved within the last five months or so, and long-term holders, whose coins have not moved for longer. Long-term holders have historically been patient. They accumulate during bear markets and sell into strength late in bull markets.

When long-term holders start spending coins at an unusual rate after a big run-up, it has often signaled that the cycle is maturing. When short-term holders, who usually bought recently and at higher prices, are sitting on heavy losses and selling in a panic, that has often marked a bottom.

### *Realized price and MVRV*

The ledger lets us estimate the price at which each coin last moved, which is a rough proxy for what its current owner paid for it. Averaging this over all coins gives the realized price: roughly, the average cost basis of the whole market.

The ratio between the market price and this average cost is called MVRV (market value to realized value). When MVRV is very high, most holders are sitting on large profits and the temptation to sell is strong. Historically, readings in that zone have coincided with cycle peaks. When MVRV drops close to or below 1, the average holder is at break-even or a loss, and those periods have historically been some of the best times to accumulate. It is not a precise timing tool, but it is one of the clearest pictures of crowd psychology you can get.

### *Smart-money wallets*

Some analytics platforms label addresses that belong to known funds, exchanges, project teams and wallets with a long record of buying early and selling well. Following those labels lets you see, for example, that a project's own treasury has been sending tokens to an exchange, or that several respected funds have been quietly buying the same small token. The labels are not always right, and copying other people's trades blindly is a poor strategy. But knowing what the best-informed participants are doing is useful context.

### *Token unlocks and treasury movements*

In Chapter 2 we looked at unlock schedules on paper. On-chain, you can see what actually happens when tokens unlock: whether early investors move their tokens straight to exchanges, or leave them where they are. You can also watch project treasuries. A team that keeps selling its own token while telling the public things have never been better is giving you important information.

### *Development activity and real partnerships*

Not all of the useful data is on the blockchain itself. Most crypto projects publish their code on GitHub. A steady stream of updates from many contributors suggests an active project. A repository that has not been touched for months tells a different story.

Partnership announcements are a classic source of hype in crypto. A project announces that it is "working with" a large company, the price jumps, and the details turn out to be a small pilot or nothing at all. Real integrations usually leave traces: code that connects the two systems,

smart contracts that the partner actually calls, transaction volume that grows after the announcement. Checking for those traces is one of the best ways to separate substance from marketing.

### *Where to find this data*

Many of these indicators are available for free or at low cost. Blockchain explorers such as mempool.space for Bitcoin and Etherscan for Ethereum show every transaction. Glassnode, CryptoQuant and Santiment publish exchange flows, holder statistics and MVRV, with some charts free. Arkham and Nansen label wallets. DefiLlama and Token Terminal track fees and revenue. And TradingView brings many of these data series together with price charts.

The challenge is not access. It is time. Watching all of this across dozens of tokens, every day, and knowing which signals actually matter at which stage of the cycle, is a full-time job.

> **Let my agents do the watching**
>
> The data in this section is public, but turning it into decisions takes hours every day. I run a set of automated AI agents that monitor whale movements, exchange flows, token unlocks, development activity and partnership announcements across the networks I follow, and flag anything unusual. I then review the flagged projects by hand, including smaller tokens that do not appear in the Model Portfolio. The results go into my weekly Microcap Report, which combines the Weekly BTC Cycle Update, the Model Portfolio and the agent findings in one place. Details are at cryptorevolution.money.

## 3.5 Taxes and Reporting Tools

Crypto is not a tax-free zone. In most countries, tax authorities treat it as property or a private asset, and they increasingly receive data directly from exchanges. In the EU, a directive known as DAC8 requires crypto service providers to report customer transactions to tax authorities from 2026. In the US, brokers have had to report crypto sales on a new form, 1099-DA, starting with transactions made in 2025.

Rules differ widely by country and change often, so treat the following as a general orientation rather than tax advice, and speak to a tax advisor about your own situation.

### *What usually counts as a taxable event*

In many countries, all of the following can create a taxable gain or loss:

- selling crypto for regular money;
- swapping one crypto for another, including swaps into stablecoins;
- paying for goods or services with crypto;
- receiving crypto as income, for example from staking, lending or as payment for work.

Simply buying crypto with regular money and holding it is usually not taxable. Neither is moving coins between your own wallets, although you need to keep records to prove that the coins are still yours.

### *Two examples: Germany and the United States*

**Germany.** Gains from selling crypto held privately are tax-free if you held the coins for more than one year. If you sell within a year, gains are taxed at your personal income tax rate, but only if your total gains from such private sales exceed €1,000 in the year. Income from staking and similar activities is taxed separately, with a small annual allowance. Gains and income are reported in the Anlage SO of the tax return. There has been political discussion about abolishing the one-year rule, possibly from 2027, but as of October 2026 no law has been passed. Check the current situation before you plan around it.

**United States.** Crypto is treated as property. Gains on coins held for more than a year are taxed at long-term capital gains rates; gains on coins held a year or less are taxed as ordinary income. Sales are reported on Form 8949 and Schedule D. Income from staking, mining or payment for work is taxed as ordinary income when received.

### *Reporting tools*

The hard part of crypto tax is not the rules. It is record-keeping. If you have bought on two exchanges, moved coins to a hardware wallet and swapped a few tokens along the way, working out the cost of each coin you sold by hand quickly becomes impossible.

Crypto tax software solves this. Tools such as CoinTracking, Blockpit, Koinly and CoinTracker connect to your exchange accounts through read-only access and to your wallet addresses on the blockchain, import your full transaction history, match transfers between your

own accounts, calculate gains and income according to your country's rules, and produce reports that you or your tax advisor can use directly. Some offer country-specific forms, including for Germany and the US.

A few habits make this much easier:

- Connect your accounts to a tax tool from the start, not at the end of the year.
- Keep exports of your exchange histories, because exchanges sometimes close or delete old data.
- Label transfers between your own wallets so they are not counted as sales.
- Keep notes on anything unusual, such as airdrops or tokens lost to a scam.

> **Chapter 3 in one paragraph**
>
> You can own crypto through a regulated fund, through an exchange or in your own wallet. Funds are simplest, exchanges are convenient but risky for long-term storage, and self-custody gives you full control with full responsibility. Your seed phrase is the key to everything, so keep it offline and never share it, and keep your savings in a cold wallet separate from a small spending wallet. Build your portfolio around a Bitcoin core, hold only as many altcoins as you can follow, and spread the high-risk part widely, because networks can and do fail. Use on-chain data such as exchange flows, MVRV and unlocks to see what large holders are doing. Keep records from day one and use a tax tool, because tax authorities can see far more than most people think.

# Final Words: Putting It All Together

If you take only one idea from this book, let it be this: in crypto, when you buy matters at least as much as what you buy.

The market has moved through the same broad phases for more than fifteen years. Bitcoin sets the rhythm, driven by its fixed supply, its halving schedule and the global tide of liquidity. Altcoins follow, rising later and faster, and falling harder. Institutions, ETFs and new laws are making the market larger and more mature, and the swings may become smaller. But the underlying cycle has not gone away, and there is little reason to think human greed and fear will stop shaping it.

So here is the approach I would suggest, in plain terms.

1. **Know where we are in the cycle.** Before buying anything, ask whether the market is in accumulation, advance, euphoria or decline. Let that decide how much risk you take.
2. **Build your base in Bitcoin.** It is the most established, most liquid and least risky asset in this market. For many investors, a Bitcoin ETF or ETP and nothing else is a perfectly reasonable crypto allocation.
3. **Treat altcoins as venture investments.** Keep them to a share of your portfolio you could afford to see fall 90 percent. Research each one using the checklist in Chapter 2. Favor real usage, real revenue and fair token distribution.

4. **Take profits on the way up.** Nobody rings a bell at the top. Selling in stages as the market moves into euphoria is better than trying to sell at the exact peak and selling nothing.
5. **Protect what you have.** Use reputable platforms, move long-term holdings into self-custody or a regulated fund, keep your seed phrase offline, and keep tax records from day one.
6. **Never invest money you will need soon.** A 50 percent decline has happened in every cycle so far. Your plan has to survive one.

None of this requires you to watch prices all day. It requires a plan, a little patience and an honest view of where the market stands.

## Staying up to date

I update this book once a year, with fresh figures, a new assessment of where we are in the cycle and any changes in regulation or taxes. Between editions, everything I publish lives at cryptorevolution.money:

- **The Weekly BTC Cycle Update** (free): where Bitcoin stands in its cycle, my Bitcoin entry zone, key levels, macro changes and general market insights.
- **The Model Portfolio**: weekly cycle phases with entry and exit zones for Bitcoin, Ethereum and a model portfolio of established altcoins, with the reasons each token is included, and the waterfall portfolio strategy: how to build from a Bitcoin base into altcoins as the cycle progresses, and whether to hold through the cycle or trade its swings.

- **Microcap Report**: everything above, plus findings from my on-chain AI agents and hand-written research on smaller projects, including possible moonshots for the coming bull market.

All of it is research and education, not personal financial advice. Thank you for reading, and success with your investing!

# Glossary

**Airdrop.** Free distribution of tokens to wallet holders, often to early users of a network.

**Altcoin.** Any cryptocurrency other than Bitcoin.

**Bitcoin dominance.** Bitcoin's share of the total value of the crypto market.

**Cold storage.** Keeping private keys on a device that is never connected to the internet.

**DeFi (decentralized finance).** Financial services such as lending, borrowing and trading run by smart contracts instead of banks or brokers.

**DePIN.** Decentralized physical infrastructure networks: crypto projects that reward people for supplying real-world hardware such as computing power, storage or wireless coverage.

**Distributed ledger technology (DLT).** A tamper-proof database shared across many computers, where the network confirms each entry instead of a central institution.

**ETF / ETP.** Exchange-traded fund / exchange-traded product. A fund that trades on a stock exchange. Spot crypto ETFs and physically backed ETPs hold the actual coins.

**Exchange flows.** The movement of tokens onto and off centralized exchanges, used as a signal of selling or holding intentions.

**Fair launch.** A token launch with no private sale or discounted allocation for insiders.

**FDV (fully diluted valuation).** Token price multiplied by the maximum supply.

**Halving.** The event, roughly every four years, when the reward for mining new Bitcoin blocks is cut in half.

**Hot wallet / cold wallet.** A wallet whose keys sit on an internet-connected phone or computer (hot), or on an offline device such as a hardware wallet (cold).

**Layer 1 / Layer 2.** A base blockchain that secures itself (Layer 1), and a network built on top of one to make transactions faster and cheaper (Layer 2).

**Liquidity.** Broadly, the amount of money and credit available in the financial system.

**Market capitalization.** Token price multiplied by the circulating supply.

**MVRV.** Market value to realized value. The ratio between the market price and the average price at which coins last moved.

**Oracle.** A service that delivers outside data, such as prices, to a blockchain.

**Power law.** A mathematical relationship that, plotted on log-log scales, forms a straight line. Used to describe Bitcoin's long-term growth trend.

**Private key.** The secret number that controls a crypto wallet. Whoever knows it controls the funds.

**Proof of work.** The method Bitcoin uses to secure its network, in which miners spend electricity to compete for the right to add new blocks.

**Public key / address.** Derived from the private key and safe to share. Others use your address to send you crypto.

**Real-world assets (RWAs).** Traditional assets such as bonds, funds, gold or real estate represented as tokens on a blockchain.

**Seed phrase.** A list of 12 or 24 words that can recreate all the private keys in a wallet.

**Self-custody.** Holding your own private keys instead of trusting an exchange or custodian.

**Smart contract.** A program that runs on a blockchain exactly as written.

**Stablecoin.** A token designed to keep a steady value, usually one US dollar.

**Tokenization.** The process of representing ownership of an asset as a token on a blockchain.

**Tokenomics.** The economics of a token: supply, distribution, inflation, unlocks and how value flows to holders.

**Unlock / vesting.** The scheduled release of tokens held by teams and early investors.

**Whale.** A holder large enough to move a token's price.

**x402.** An open internet payment standard that lets programs and AI agents pay for online resources instantly in stablecoins.